

RED BAIL FUND TEST ALLOWED BY COURT

Justice Greenberg Lets State Banking Inquiry Proceed as Solvency Issue Is Raised

By RUSSELL PORTER

Justice Henry Clay Greenberg in the State Supreme Court refused to interfere yesterday in the investigation to determine whether state banking laws had been violated by the organization calling itself the Civil Rights Congress.

The State Banking Department then held a hearing at which Abner Green, trustee, and Muriel Patterson, bookkeeper, of the Civil Rights Congress' bail fund, were ordered to produce its books and records. They appeared, but failed to bring the documents, explaining they did not have possession or control over them.

Banking Department officials are expected to take further steps today to get possession of the books. According to recent statements in Federal court, they seek to determine whether about \$1,000,000 lent to the bail fund should be confiscated for the benefit of the depositors. They are also considering whether a cease-and-desist order should be issued against further operations by the bail fund.

Operations of the Bail Fund

In the last two years the Civil Rights Congress, which is listed by the Federal Attorney General as a Communist front, has posted \$464,500 bail for Communist leaders. This included \$260,000 for eleven top Communists convicted in 1949, \$181,000 for sixteen of the seventeen arrested June 20 and \$23,500 in the Eisler deportation case.

The bail fund has forfeited \$103,500 of this bail—\$80,000 when four of the 1949 convicts jumped bail July 2, and \$23,500 when Gerhart Eisler fled in 1949. It has been disqualified from further acting as bondsman in Federal Court. Three of its trustees have been jailed for criminal contempt of court, for refusing to produce the books of the bail fund or answer questions to help the court find the bail jumpers.

Yesterday Mrs. Mary Kaufman, counsel for the bail fund, appeared before Justice Greenberg to ask for a stay of execution against subpoenas served by the Banking Department on Green and Miss Patterson. Had it been granted, the stay would have made the subpoenas ineffective until their validity could be tested in court.

Question of the Depositors

Mrs. Kaufman argued that the Banking Department had no authority to investigate the bail fund because the Civil Rights Congress was not engaged in the banking business. Although individuals lend money to the bail fund for the purpose of posting bail, she held, the loans were not made for the benefit of the lenders but for the benefit of the bail fund.

Conceding that the bail fund issued "certificates of deposit" to the lenders, she insisted that they did not refer to "deposits" in the banking sense.

Assistant Attorney General Murray L. Sylvester recalled that the Federal Court had suggested that the bail fund's banking business be looked into, since it was handling large amounts of other people's money without a banking license. Charging that depositors' funds were being "dissipated," he said "any mishandling of funds should be nipped in the bud."

There is ample reason to believe, he added, that the fund is violating the law by taking deposits, which he said "must be protected immediately." Pointing to the "terrific" financial loss suffered by the fund through the bail forfeitures, he declared:

"It is believed this organization is actually insolvent and not by any close margin."

Bank Examiners Thwarted

Donald H. Aiken, Deputy Superintendent of Banks, told the court that bank examiners had been in the bail fund offices since last Thursday, but that access to the books had been denied them. He said there was a penalty of \$200 a day for every day the books were withheld.

Justice Greenberg signed an order requiring the Banking Department to show cause in Supreme Court at 10 A. M. next Monday why the subpoenas should not be vacated, but refused to include a stay of execution.

"The court must assume that the Superintendent of Banks is proceeding under the law," he said. "No facts have been presented to show he is not justified. The widest latitude is allowed by the law to conduct inquiries to determine whether anyone is violating the law."

"When the Superintendent has reason to suppose that the law is being violated, the court should not interfere with him."

The bail fund trustees now imprisoned for contempt of court are Frederick Vanderbilt Field, millionaire helper of Communists; Dashiell Hammett, mystery-story writer, and W. Alphaeus Hunton. Hammett and Hunton are serving six-month sentences; Field's term is ninety days.

A defense attorney was reported on the way yesterday to Maysville, Ky., the home of Justice Stanley Reed of the United States Supreme Court, to seek bail for the trustees pending appeal.

Hammett, Hunton and Field, who appeared before a Federal grand jury Wednesday, are expected to be recalled today. The grand jury is said to be investigating possible obstruction of justice and harboring of fugitives. Besides the four convicts who jumped bail, four others indicted June 20 are fugitives.

Relatives of Louis Weinstock, one of the seventeen arrested June 20, yesterday posted \$10,000 bail, which was accepted by United States Commissioner Edward W. McDonald. Weinstock will be released today. He is a member of the party's national review commission, which performs secret police functions.